

Activity 22 Plan Procurement and Manage Contracts with GenAI

Activity 22 | Topic 03 | C013 | Version v1.0

Course: Generative AI for Project Management (C013) Topic 03: Managing Project Risks
with GenAI Learning outcome: LO3 - Select the right contract type and manage procurement risk. Tools: GenAI tool | Claude

Goal

Procurement transfers risk - but only if you choose the right contract type. You will use GenAI to draft procurement documents and to reason about where risk actually sits in each contract type.

What you'll produce

A procurement strategy with a justified contract type and a drafted RFP outline.

Activity files

- [Activity guide PDF](./activity-guide.pdf)
- [Prompt sheet](./prompts.pdf)
- [Detailed instruction manual](./instruction-manual.pdf)
- [Mock data workbook](./mock-data.xlsx)

Core prompt

Compare Firm Fixed Price, Cost Plus Fixed Fee and Time and Materials for this procurement. State who carries the risk.

Step-by-step

1. In your group, identify something your project must procure externally - a vendor, consultant, software or equipment.
2. Decide which bid document fits: RFI when you need information on what sellers can provide; RFP when the solution is not obvious and you need sellers to propose one; RFQ when you know exactly what you want and need a price.
3. Prompt GenAI: 'Draft an outline [RFI/RFP/RFQ] for [what you are procuring]. Include the scope of work, deliverables, evaluation criteria with weightings, and the submission requirements.'
4. Now the important question. Prompt: 'Compare Firm Fixed Price, Cost Plus Fixed Fee and Time and Materials for this procurement. For each, state who carries the risk of a cost overrun and under what circumstances it is the right choice.'
5. Verify the risk logic yourself: fixed price puts overrun risk on the SELLER and suits well-defined scope; cost reimbursable puts it on the BUYER and suits changing work; T&M suits an undefined statement of work and staff augmentation.
6. Choose your contract type and write two sentences justifying it in terms of who should carry the risk given how well you know the scope.
7. Prompt GenAI to list the contract components you must include: description of work, delivery schedule, responsibilities of both parties, price and payment terms, termination provisions, guarantees and warranties, intellectual property, and security/confidentiality/data privacy.

8. Add a claims and dispute clause. Prompt: 'What should the claims process and alternative dispute resolution clause say?' Confirm you understand a claim arises when buyer and seller cannot agree that a change occurred.
9. Share your contract type choice and your risk justification with the class.

Check your work

Check: You have the right bid document type, a contract type justified by who should carry scope risk, and a component checklist including IP, data privacy and dispute resolution.

Remember: GenAI gives you a fast first draft. Check every figure, source and assumption before the output leaves your hands - you remain accountable for it.

© 2026 Tertiary Infotech Academy Pte Ltd. All rights reserved.